

Pre-Listing Tax Readiness Review Checklist (Pet Resort Sector)

Purpose: This checklist outlines the streamlined tax documentation required to conduct a “Sale Readiness” checkup with a pet resort client *before* they list their business for sale. The objective is to proactively clean up financials, identify potential valuation risks, and confirm entity/permit consistency so there are no surprises when a buyer begins formal closing due diligence.

Line Spacing: 1.15

1. Financial Clean-Up & Baseline Valuation Verification

These documents are used to verify that internal bookkeeping aligns with official filings and to identify valid personal add-backs that will maximize the listing price.

Document Requested	Pre-Listing Focus & Value Optimization	Best Source
Federal & State Income Tax Returns (Last 3 Years)	Complete copies of filed returns (Form 1120, 1120-S, or 1065). Essential to cross-reference against internal P&Ls to verify data integrity and check for deferred revenue liabilities (e.g., prepaid boarding packages, unredeemed gift certificates) that could impact a buyer’s cash-at-close calculations.	Your accountant/CPA

2. Employment Structure & Labor Risk Assessment

Because labor is a pet resort's largest operating expense, this documentation checks for operational efficiency and traps that could derail a future buyer's compliance audit.

Document Requested	Pre-Listing Focus & Value Optimization	Best Source
IRS Forms 941 & 940 (Last 3 Years)	Quarterly Federal Payroll (941) and Annual Unemployment (940) filings. Used to calculate an accurate all-in labor cost percentage and screen for chronic late-deposit penalties that represent operational red flags.	Your payroll provider (e.g., ADP, Gusto, Paychex), or your bookkeeper
Forms 1099-NEC / 1099-MISC & Contractor Agreements	Review of non-employee service providers (e.g., contract groomers or independent trainers). Crucial for evaluating the risk of worker misclassification . Catching a misclassification exposure early allows the client to correct their staffing model before an institutional buyer uses it to discount the business value.	Your bookkeeper or accountant; contractor agreements (if any) you likely hold yourself

3. Local Service Compliance & Base Records

Verifies compliance regarding indirect taxes tied to the facility's specific service streams before a buyer initiates local successor liability searches.

Document Requested	Pre-Listing Focus & Value Optimization	Best Source
State Sales & Use Tax Returns (Last 3 Years)	Review of historical sales tax filings to ensure compliance across all offered revenue streams (boarding, grooming, retail). Ensures that local tax entities are synchronized with the business's legal entity structure before starting the sale process.	Your accountant / bookkeeper, or your state's online tax portal if you file directly

4. Historical Disputes & Open Notices

Flags active issues that must be organized or resolved prior to packaging marketing materials.

Document Requested	Pre-Listing Focus & Value Optimization	Best Source
IRS / State Tax Notices & Audit Correspondence (Last 3 Years)	Identifies active proposed adjustments or outstanding audits. Any past resolved audits should include official closure letters so they can be filed cleanly in the eventual buyer data room to build transaction trust.	You (these are typically mailed to the business owner directly) — your accountant may also have copies